

undervaluation, and outlining various steps to eliminate the valuation discount, either through restructuring or returning capital. The other purpose of the letters is to embarrass management into taking the medicine prescribed by Loeb.

Loeb's first schedule 13D letter, sent in September 2000 to William Stiritz, the chief executive officer of Agribrands International, offers a study in the art form. Agribrands had agreed to merge with another firm, Ralcorp. Under the terms of the merger, Agribrands shareholders were to receive three shares for each share held in a new company representing the combination, and Ralcorp shareholders were to receive one share. The Agribrands shareholders could also opt to receive \$39 per share cash, and Ralcorp shareholders \$15 per share, giving Agribrands an implied acquisition price of \$420 million. With \$160 million in cash on its balance sheet, and earning \$90 million per year in EBITDA, the acquisition valued Agribrands' business at less than three times EBITDA, a very low bid. Further, Loeb believed that the transaction had no strategic rationale.

In the letter, Loeb charged that the proposed merger price did not reflect full and fair value for Agribrands, demonstrated by the low enterprise multiple and price-to-earnings ratio:¹⁰

[T]he current price represents only 2.9X Agribrands' Enterprise Value to EBITDA and only 9.2X Prudential Securities estimated earnings for the Fiscal Year ended August 31, [20]00 and 7.9X next year's estimated earnings. These estimates do not take into consideration the \$10 million surrender value of the \$102 million insurance policy taken out on your life, nor the potentially sizeable award Agribrands might be entitled to as part of the class entitled to the \$242 million settlement of class-action claims against Roche Holding AG and five others in connection with their price fixing of vitamins used to fortify animal feeds and processed foods.

In an effort to raise the bid price, Loeb proposed a second sales process or several possible capital restructuring scenarios, including a leveraged recapitalization, Dutch tender offer, or special dividend. He concluded by pointing out that he had sufficient stock to block the merger, and called on management to consider the other possibilities for realizing value:¹¹

We are not alone in opposing the merger with Ralcorp. Based on our informal conversations with other large shareholders who share our frustration, we believe that it is unlikely that you will obtain the required 2/3 majority to approve the transaction. . . . Accordingly, we urge you to waive the \$5.0 million break-up fee, to